

HSC BUSINESS STUDIES

Operations — exam focus

Short-answer practice on the points you flagged

15 short-answer questions across 3 syllabus points

Drawn from NESA HSC 2019–2023, school trial papers 2023–24, and topic question banks.

HOW TO USE THIS BOOKLET

- Short answer only — no multiple choice, and no 20-mark extended responses.
- Ruled space follows each question, sized to its mark value.
- A question testing two of these points is printed once and cross-referenced from the other.

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TOPIC

Operations

Inventory management

1. 22 (b) Reddam Trial 2024**2 marks**

Describe ONE inventory management strategy Buffy's Florist Pty Ltd could use in the business.

STIMULUS

Balance Sheet for Buffy's Florist, 1/1/24 – 30/6/24. Current Assets: Cash \$10 000; Accounts Receivable \$70 000; Inventory \$80 000 (total \$160 000). Non-Current Assets: Retail Premises \$800 000; Delivery vans \$100 000. Current Liabilities: Accounts Payable \$90 000; Bank overdraft \$60 000 (total \$150 000). Non-Current Liabilities: Mortgage \$600 000. Owners' Equity: Capital \$260 000; Retained Profit \$50 000. Additional financial information: Industry Average Liquidity/Working Capital Ratio = 2:1.

2. 22 (a) Independent Trial 2024 · Newington Trial 2024**2 marks**

Recommend an inventory management system that can be used by this business to better manage stock.

STIMULUS

Style Furniture Pty Ltd is an Australian business that manufactures and sells furniture in Sydney. The business is holding excess stock which is difficult to sell. Management is attempting to improve its furniture production and reduce the cost of its operations processes. It is also investigating if outsourcing its operations processes to an overseas manufacturer or investing in technology will assist it in achieving its goals.

3. 21 (b) Reddam Trial 2023**2 marks**

Describe ONE disadvantage of holding stock for the car retailer.

STIMULUS

A car retailer expects high demand and orders extra stock of the latest release lower priced, electric car. The car retailer also provides longer warranties than competitors as well as car repairs and services.

4. 23 (d) Newington Trial 2023**3 marks**

Recommend and justify an inventory management system this business should use

STIMULUS

Rebecca owns and operates a health food business. Due to an increase in competition from large retail chains, she needs to revise her operational strategies. A problem that her customers have identified is products that are consistently 'out of stock', as well as damaged goods in need of replacing.

5. 21 (b) 2022 HSC Business Studies**3 marks**

Recommend an appropriate inventory management strategy for this business.

STIMULUS

Scenario: Michael would like to open a new burger restaurant.

Global factors**6. 21 (a)** 2023 HSC Business Studies**2 marks**

Outline ONE potential issue this business could face in relation to both cost and quality of outputs.

STIMULUS

An Australian tyre manufacturer is expanding its business. In order to reduce operating costs and increase sales and profit, rubber will be sourced from the global market. The business wants to: maintain quality outputs; achieve economies of scale.

7. 21 (b) 2023 HSC Business Studies

3 marks

Explain the benefits of achieving economies of scale for both the business and consumers.

STIMULUS

An Australian tyre manufacturer is expanding its business. In order to reduce operating costs and increase sales and profit, rubber will be sourced from the global market. The business wants to: maintain quality outputs; achieve economies of scale.

8. 21 (d) Roseville Trial 2024

4 marks

Explain how the operations strategies of global sourcing and economies of scale might be beneficial to this business.

STIMULUS

Sushi Train — a successful global Japanese fast food company rapidly expanding in Australia. Customers are attracted to its unique process layout, in which little plates of sushi rotate around on a train-style system. Customers take meals directly from the train and watch their meals being produced in front of them.

9. 22 (c) Independent Trial 2024 · Newington Trial 2024

4 marks

What are the advantages of this business outsourcing its operations process overseas.

STIMULUS

Style Furniture Pty Ltd is an Australian business that manufactures and sells furniture in Sydney. The business is holding excess stock which is difficult to sell. Management is attempting to improve its furniture production and reduce the cost of its operations processes. It is also investigating if outsourcing its operations processes to an overseas manufacturer or investing in technology will assist it in achieving its goals.

10. 22 (c) Knox Trial 2023

5 marks

Recommend TWO global factors that HiTel should implement to meet cost and speed performance objectives.

STIMULUS

HiTel is a leading Australian electronics company expanding rapidly in the Asia Pacific region. It is moving its Sydney-based manufacturing to India. The cost of the change is forecast at \$40 million, it will take six months to implement, and 250 staff will be impacted.

Corporate social responsibility

11. 22 (a) Barker Trial 2024

2 marks

Distinguish between legal compliance and corporate social responsibility.

12. 21 (c) Reddam Trial 2023**2 marks**

Why may this business exceed its legal obligations when offering warranties to customers?

STIMULUS

A car retailer expects high demand and orders extra stock of the latest release lower priced, electric car. The car retailer also provides longer warranties than competitors as well as car repairs and services.

13. 21 (d) Barker Trial 2023**4 marks**

With reference to a business you have studied, discuss the impact of corporate social responsibility on the operations process.

14. 24 (c) 2019 HSC Business Studies

4 marks

Why might this business be reluctant to become more socially responsible?

STIMULUS

Question 24 scenario: A juice bar is operating in a shopping centre. The juice is served to customers in plastic cups with plastic straws. The high sales volume and quick turnover demand an efficient operations process. (Single-use plastic cups and straws are the environmental/social responsibility issue.)

15. 23 (c) Abbotsleigh Trial 2024

5 marks

Assess the influence of corporate social responsibility on operations management for Precision Shave.

STIMULUS

Precision Shave produces and sells a collection of eco-friendly razors made from sustainable materials. The business is also introducing a subscription service that delivers customised shaving kits catering to the specific needs of individual consumers.